

their self-confidence (it is imperative that you have confidence in your work) was shaky, at best.

Even though they started buying around 12¢ and sold their final long contract around 23¢, nearly everything they did in between was costly. Their buying pyramids were inverted (two, then five, then 10, etc.). They tended to buy rallies but then sell quickly on weakness (also shorting on further weakness). It was a near-total disaster, despite their initial analysis (which they adhered to in principal during the entire campaign) being uncannily accurate.

There are a number of what I call “speculator’s laments” that I have observed—from firsthand experience, I must admit. The speculator watches as the market goes according to his analysis. Then, as soon as he has entered, c-r-a-s-h . . . and it completely reverses.

Here is another universal one: She’s always buying on strength and then selling on weakness, inevitably resulting in small profits and big losses.

COURTING DISASTER

Taking big losses has to be the number one method of courting disaster and I, too, am constantly fighting this tendency—and not with consistent success, either.

A couple of years ago, after silver had topped out at the \$50 level and was on the way down, one of my clients called and in a hushed and confidential tone advised me not to buy my silver yet. He said he was in touch with the big boys and would be told when they are buying and at that point he would buy for himself and advise me to buy.

Well on the face of it that sounded fine. After all wouldn’t everyone want to buy when “the big boys” (whoever *they* are) were buying?

I didn’t hear from this gentleman for some months after that. But one day he suddenly appeared in my office, furtively